CITY OF OPA-LOCKA

Clerk's Action Summary Minutes
FIRST BUDGET HEARING
September 8, 2009
5:01 p.m.
City Commission Chambers
777 Sharazad Boulevard
Opa-locka, FL 33054

1. CALL TO ORDER:

Mayor Joseph L. Kelley called the meeting to order at 5:06 p.m. on Wednesday, September 8, 2009 in the City Commission Chambers, 777 Sharazad Boulevard, Opa-locka, Florida 33054.

2. ROLL CALL:

The following members of the City Commission were present: Commissioner Rose Tydus, Commissioner Dorothy Johnson, and Mayor Joseph L. Kelley. Also in attendance were: Interim City Manager Bryan K. Finnie, City Clerk Deborah S. Irby, and City Attorney Burnadette Norris-Weeks. Commissioner Timothy Holmes arrived at 5:10 p.m. Vice Mayor Myra L. Taylor was not in attendance.

3. INVOCATION:

The Invocation was delivered by Mayor Joseph L. Kelley.

4. PLEDGE OF ALLEGIANCE:

The Pledge of Allegiance was recited in unison.

5. RESOLUTION:

A. A RESOLUTION OF THE CITY COMMISSION OF THE CITY OF OPA-LOCKA, FLORIDA, TENTATIVELY ADOPTING A MILLAGE RATE FOR FISCAL YEAR 2009-2010, COMMENCING OCTOBER 1, 2009, THROUGH SEPTEMBER 30, 2010, PURSUANT TO SECTION 200.065, FLORIDA STATUTES. *Sponsored by C.M.*

The above resolution was read by title by Attorney Norris-Weeks.

Mayor Kelley opened the floor for public hearing. There being no persons to speak on the public hearing, the public hearing was closed.

Faye Douglas, Assistant Finance Director informed the commission that section two of the resolution states that the City Commission of the City of Opa-locka hereby tentatively adopts a millage rate for the fiscal year 2009-2010 commencing October 1, 2009 through September 30, 2010 of 8.5467 mills which is $8.5467 per One Thousand Dollars of the assessed property value within the City of Opa-locka. This millage rate represents a zero percent increase over the roll back rate.

It was moved by Commissioner Johnson, seconded by Commissioner Tydus to approve the above resolution.

Mayor Kelley said once the millage rate is set it can always go down, but it can't go up.

Attorney Norris-Weeks said, that is correct.

There being no further discussion, the motion passed by a 3-0 vote.

Commissioner Johnson	Yes
Commissioner Holmes	Not Present
Commissioner Tydus	Yes
Vice Mayor Taylor	Not present
Mayor Kelley	Yes

6. FIRST READING ORDINANCES/PUBLIC HEARING:

A. AN ORDINANCE OF THE CITY COMMISSION OF THE CITY OF OPA-LOCKA, FLORIDA, APPROVING AND ADOPTING THE CITY'S GENERAL FUND BUDGET FOR THE FISCAL YEAR 2009-2010, COMMENCING OCTOBER 1, 2009 THROUGH SEPTEMBER 30, 2010; PROVIDING FOR THE EXPENDITURE OF FUNDS ESTABLISHED BY THE BUDGET; AUTHORIZING THE CITY MANAGER TO TAKE CERTAIN ACTIONS; PROVIDING FOR APPROPRIATION OF ALL BUDGET EXPENDITURES; PROVIDING FOR THE DEPOSIT OF INTEREST EARNED TO THE GENERAL FUND PROVIDING FOR FEES CONSISTENT WITH APPROPRIATION AND PROVIDING FOR AMENDMENT; PROVIDING FOR REPEAL OF ALL ORDINANCES IN CONFLICT; PROVIDING FOR SEVERABILITY; PROVIDING FOR AN EFFECTIVE DATE.

The above ordinance was read by title by Attorney Norris-Weeks.

Ms. Douglas read "Exhibit A" 2009-2010 General Fund into the record.

Mayor Kelley opened the floor for public hearing. There being no persons to speak on the public hearing, the public hearing was closed.

It was moved by Commissioner Johnson, seconded by Commissioner Tydus to adopt the above ordinance.

Commissioner Johnson asked, what is the actual percentage of money for the reserved fund?

Ms. Douglas said in the general fund the financial integrity ordinance says that there has to be a minimum of Five Hundred Thousand Dollars ($500,000.00.). In the water and sewer fund it's a percentage and the reserves are between 3-5 percent.

Commissioner Johnson asked, what's the percentage the charter says the city must have?

Ms. Douglas said the city must set aside Five Hundred Thousand Dollars ($500,000.00) as a reserve every year.

Mayor Kelley asked, what is the percentage for water and sewer?

Ms. Douglas said 5 percent.

Commissioner Johnson said with the understanding that none of that money should be removed without the commission approval.

Commissioner Johnson asked, what will the funds in the risk management line item be used for?

Dr. Orji said the funds in the risk management line item include insurance.

Commissioner Johnson said if that was the case, when the issue came up with BellSouth why the city did not use our insurance company to cover the money.

Attorney Norris-Weeks said it's not covered by the Florida League of Cities.

Mayor Kelley asked, what adjustments were made regarding overtime and education?

Ms. Douglas said there was a Twenty One Thousand Eight Hundred and Forty Eight Dollar ($21,848.00) reduction in education cost.

Mr. Finnie said these are the strategies used to balance the budget. All of the educational dollars were consolidated into one fund.

Mayor Kelley said he would like to see more dollars in the budget for education and training for employees to enhance their skills.

He further mentioned in one department the other professional services line item decreased and he asked for some clarity on it.

Ms. Douglas said the building and license department other professional services line item decreased by Fifty Thousand Dollars ($50,000.00) because they were paying a

building inspector to inspect the building permits, but now Mr. Daniel Abia does the inspections.

Commissioner Johnson asked, what is the other professional services financial advisor services for?

Ms. Douglas said it is for financial advisor services. Those funds were moved from the general fund into the water and sewer department in order to reduce the general fund expenses.

Commissioner Johnson said that's not a true picture when you move things around and title them under different categories. If it's professional services and not a city employee then it should be other professional services.

Ms. Douglas said it is other professional services but in the water and sewer department.

Commissioner Johnson asked, will I see the Thirty Five Thousand Dollars ($35,000.00) that was reduced in the water and sewer budget?

Ms. Douglas replied, yes.

Commissioner Johnson asked, what was it previously listed as?

Ms. Douglas said it was under other professional services in the general fund, now it is under other professional services in the finance department/water and sewer fund.

Commissioner Johnson asked, do we have a financial auditor now?

Ms. Douglas said the city currently has Financial Fidelity Services, they do financial advisory services for the city and we pay them on an as needed basis.

Commissioner Johnson asked, how long have they provided services to the city?

Ms. Douglas said for a number of years.

Commissioner Johnson said from her understanding contracts were supposed to be given for a year and renewals should go before the commission.

Mr. Finnie said he does not recall utilizing the services of Financial Fidelity this year.

Commissioner Johnson said after the year contract expire all renewals should go before the commission for approval.

She further said she see a reduction in Park & Recreation budget, what are the real numbers?

Mr. Finnie said for promotional activities as well as Twenty Thousand Dollars ($20,000.00) for contracted services.

Ms. Douglas said based on the document that has been provided to the commission all departments were affected in trying to balance the budget and reduce the gap.

Parks & Recreation was affected in that as well, however their budget did increase because three employees were moved from Crime Prevention Department to the Parks & Recreation Department because Crime Prevention funding has been cut.

Commissioner Johnson asked, what about education and equipment?

She said the city has depended on grants for a long time, but there are supplies needed to have a quality program and she does not think a city should depend on grant resources for that project. No one should have to go out and ask for something the city should be providing for our citizens.

She further said staff needs to make sure the Parks & Recreation, Elderly Services, Public Safety and Public Works department budget is a priority. She does not want to see a deduction when we talk about enhancing the quality of programs.

Mayor Kelley asked, do you have any suggestions?

Commissioner Johnson said staff needs to go back and review all the increases and bonuses that have been given. The city is not in a position to give anyone a bonus or increase. We need to look at the services we have to provide to the citizens.

Staff needs to go back and look at possibly making cut, primarily increases and bonuses.

Commissioner Holmes asked, has there been an increase or decrease in revenue this year?

Dr. Orji said the revenue has come in how they projected it for the year. There has not been any significant increase or decrease in revenue this year.

Commissioner Holmes asked, is the revenue about the same as it was last year around this time of year?

Dr. Orji said the revenue that is proposed for next year has slightly gone down by 7.76 percent which is about One Million Dollars.

Mr. Finnie asked, were you suggesting that the amount of general fund money that has been proposed to use next year is 7.76 percent less than what was used last year?

Dr. Orji replied, yes.

Commissioner Holmes said the question was is there an increase or decrease in this year's revenue?

Dr. Orji said we have a decrease.

Commissioner Holmes said when the budget passed last year the commission said no additional staff will be hired, no one will get laid off, and no raises will be given. Since that time numerous employees have been hired, numerous amounts of money has been spent and staff is being transferred around. How can all this happen if there's a decrease in our budget instead of an increase?

He further said he is totally dissatisfied with this budget and we can not operate a government like this.

Commissioner Tydus asked what are the other revenues that's on page 31 of the proposed budget?

Ms. Douglas said those are miscellaneous revenues including towing, notary fees, workers compensation, lien release fees, and other miscellaneous revenues.

Commissioner Tydus asked, will that include collections of outstanding delinquent utility accounts?

Ms. Douglas said utilities will be in the water & sewer and enterprise funds. Anything delinquent in the general fund that is believed to be collected will be under that particular line item.

Commissioner Tydus asked, how much do we have?

Ms. Douglas said under occupational license we are budgeting that we receive Two Hundred and Fifty Thousand Dollars ($250,000.00).

Commissioner Tydus asked, how much has the city collected from the Opa-locka Hialeah Flea-Market according to the pay schedule agreement that the commission adopted and where is that in the budget?

Mr. Finnie said for this fiscal year the city has collected 95% of the current year money owed. He said the city is in mediation on an incident that happened two years ago in a law suit. One of the items for discussion is perhaps the resolution of that outstanding balance in lieu of a law suit. The legal department has not signed off on it yet.

He continued by saying those funds have not been paid on a regularly scheduled basis.

Commissioner Tydus requested a written report showing how much money has been paid since the agreement.

Mayor Kelley asked, were there any major shifts in terms of franchise fees?

Ms. Douglas said the most significant one would be in waste. We believe with the new agreement we are entering into with respect to residential waste we might be able to get additional revenues.

Commissioner Johnson asked, where are the mobile homes located in the great City of Opa-locka where we are going to collect Ten Thousand Dollars ($10,000.00) from?

Ms. Douglas said the mobile home licensing dollars come from the county and we do receive those dollars.

Commissioner Johnson asked for a report on where the dollars will come from because the city has not had mobile homes since the 1980's.

She asked, is there going to be a decrease in alcohol beverages from Six Thousand Dollars ($6,000.00) to Two Hundred and Fifty Dollars ($250.00) and how where those figures calculated?

Ms. Douglas said the actual receipts for alcoholic beverage through April were Eighty Five Dollars ($85.00).

Commissioner Johnson asked, how many do we have outstanding?

Ms. Douglas said those dollars come from the county in one lump sum, the city doesn't know who pays them.

Commissioner Johnson asked, how do we check and balance this?

Mr. Finnie said he will look into it.

Commissioner Johnson said it amaze her that back in 2007 to date there has not been an increase or a decrease in any facility selling alcohol.

She further said in her opinion this is not a straight line item budget, because money can be switched from the general fund. She suggests that the line item budget precisely tells what the money will be utilized for and not shifted around.

She does not want anymore funds being rectified unless it's an emergency.

Commissioner Johnson said she is not convinced that there is a mortgage company here that is primarily providing services to citizens in Opa-locka. They may be doing a variety, and if so she wants a monthly report on it.

She said she notice that the proposed budget says the city normally helps Youth Co-Op but it has zero. She don't know who staff consulted with, but individuals that has been in

the city providing services to the citizens she thinks staff needs to go back and look at that.

Mayor Kelley requested that any revisions and/or recommendations be given to the commission prior to the second budget meeting so they will have enough time to review the documents.

Commissioner Holmes asked, are these the actual figures for the water & sewer fund?

Commissioner Holmes said there are a lot of people that has not paid their water bill and they are still using water that the city has to pay for.

Mr. Finnie said the numbers that have been provided to the commission are accurate.

Commissioner Holmes suggested that the City Manager find out how many people have a shut off notice and they are still using water and how much money is owed to the city for water bills.

Mr. Finnie said he will give Commissioner Holmes a report on it tomorrow.

There being no further discussion, the motion passed by a 4-0 vote.

Commissioner Holmes	Yes
Commissioner Johnson	Yes
Commissioner Tydus	Yes
Vice Mayor Taylor	Not present
Mayor Kelley	Yes

B. AN ORDINANCE OF THE CITY COMMISSION OF THE CITY OF OPA-LOCKA, FLORIDA, APPROVING AND ADOPTING THE CITY'S PROPRIETARY AND SPECIAL REVENUE FUND BUDGET FOR THE FISCAL YEAR 2009-2010, COMMENCING OCTOBER 1, 2009 THROUGH SEPTEMBER 30, 2010; PROVIDING FOR THE EXPENDITURE OF FUNDS ESTABLISHED BY THE BUDGET; AUTHORIZING THE CITY MANAGER TO TAKE CERTAIN ACTIONS; PROVIDING FOR APPROPRIATION OF ALL BUDGET EXPENDITURES; PROVIDING FOR FEES CONSISTENT WITH APPROPRIATION AND AMENDMENT; PROVIDING FOR REPEAL OF ALL ORDINANCES IN CONFLICT; PROVIDING FOR SEVERABILITY; PROVIDING FOR AN EFFECTIVE DATE.

The above ordinance was read by title by Attorney Norris-Weeks.

Ms. Douglas read "Exhibit A" 2009-2010 Capital Improvement Debt Service Fund into the record.

Mayor Kelley opened the floor for public hearing. There being no persons to speak on the public hearing, the public hearing was closed.

It was moved by Commissioner Johnson, seconded by Commissioner Tydus to adopt the above ordinance.

Commissioner Johnson said according to page 42 the city had 162 employees, it appears that we are budgeted for 191 employees which is an increase of 29. The commission sent a strong message that they don't want no more increases, that's another way to get money to put in Parks & Recreation budget.

She asked, how many engineers does the city have?

Mr. Finnie replied, two.

Commissioner Johnson asked, how many engineers were budgeted for last year?

Mr. Finnie said the city budgeted for two last year.

Commissioner Johnson said we are budgeting for one engineer and one intern for water & sewer. Does that mean we will have three engineers?

Mr. Finnie said he has to take a look at that.

Commissioner Johnson said you're stating on the record that last year the city budgeted for two engineers and from reading the document before her in addition to the two engineers there will be an additional engineer and one intern for the sewer division, is that correct?

Mr. Finnie said yes, but in previous discussions and during the budget workshop he indicated that there will be no new positions with the exception of police officers.

Commissioner Johnson said she recalls that discussion, but the document before her does not read the same.

Mr. Finnie said that document has to be corrected.

Commissioner Johnson said the commission sent a strong message; they are not interested in a personnel increase.

Mayor Kelley asked, what are the numbers for solid waste?

Ms. Douglas said Nine Hundred and Sixty Thousand Dollars ($960,000.00).

Mayor Kelley asked once the water plant is demolished, do you anticipate any adjustments in the line items?

Mr. Finnie replied, no. Once the water plant is demolished they are trying to raise capital to put it back on line. They are constantly in the process of applying for money for the water plant and the projected cost will be Sixteen Million Dollars to build a new facility.

There being no further discussion, the motion passed by a 4-0 vote.

Commissioner Tydus	Yes
Commissioner Holmes	Yes
Vice Mayor Taylor	Not Present
Commissioner Johnson	Yes
Mayor Kelley	Yes

6. ADJOURNMENT:

Clerk Irby informed the Commission that the Second Budget hearing will be held on Monday, September 21, 2009 at 5:01 p.m.

There being no further business to come before the City Commission, it was moved by Commissioner Johnson, seconded by Commissioner Holmes to adjourn the meeting at 6:10 p.m.

ATTEST:

MAYOR

CITY CLERK